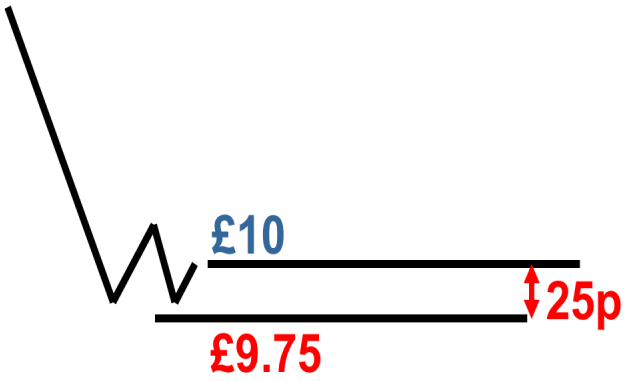
Spread Betting – Max risk calculation

e.g. Whole account = £1,000

Per trade risk Max 5% of whole account

e.g. 5% of £1,000 = £50



$$\text{Bet Size} = \frac{\text{Max amount to risk on trade}}{\text{Distance to sell stop (in pence)}}$$

e.g. £50 / (25) = **£2 per 1p move**

Stock Broker – Share trade max risk

Risk max of 5% of the total amount of money you put into each trade

e.g. if buying £1,000 worth of shares the max risk should be £50

$$\text{\% risk on the trade} = \frac{\text{Entry Price – sell stop price}}{\text{Entry Price}} \times 100$$

e.g. (£10 - £9.70) / £10 x 100 = **3% risk**

Buying a Share

Wealth Training Company

myTrack

Track Data Securities Corp. Member NASD/SIPC/NFA

About myTrack | Trading | Account

Stocks & ETFs | Stocks & ETFs (Conditional) | Options | Futures | Mutual Funds | Order Status

Stocks & ETFs

Order

Symbol: MSFT Symbol Lookup

Order Action: Buy Sell Buy to Cover Sell Short

Quantity: 100

Order Type: Market
Limit
Stop Market
Stop Limit Stop
Market on Close
Trailing Stop $ %

Duration: Day GTC (Good Until Cancel)

Condition: None All or None Fill or Kill

Contingent: Show

Clear Preview Order

Account Status

Buying Power
Buying Power with Open Orders
Cash
Account Value

Quotes

Symbol	Bid	Ask	Last
MSFT	29.46	29.47	29.47

Placing a Stop

Wealth Training Company

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Stocks & ETFs

Order

Symbol: MSFT — Symbol Lookup

Order Action: Buy | Sell | Buy to Cover | Sell Short

Quantity: 100

Order Type:
- Market
- Limit
- Stop Market 28.2
- Stop Limit — Stop
- Market on Close
- Trailing Stop $ / %

Duration: Day | GTC (Good Until Cancel)

Condition: None | All or None | Fill or Kill

Contingent: Show

Clear | Preview Order

Account Status

Buying Power

Buying Power with Open Orders

Cash

Account Value

Quotes

Symbol	Bid	Ask	Last
MSFT	29.46	29.47	29.47

Shorting a Share

Wealth Training Company

myTrack
Track Data Securities Corp. Member NASD/SIPC/NFA

About myTrack | Trading | Account

Stocks & ETFs | Stocks & ETFs (Conditional) | Options | Futures | Mutual Funds | Order Status

Stocks & ETFs

Order

Symbol: vod Symbol Lookup

Order Action: Buy Sell Buy to Cover Sell Short

Quantity: 100

Order Type: Market
Limit
Stop Market
Stop Limit Stop
Market on Close
Trailing Stop $ %

Duration: Day GTC (Good Until Cancel)

Condition: None All or None Fill or Kill

Contingent: Show

Clear Preview Order

Account Status

Buying Power
Buying Power with Open Orders
Cash
Account Value

Quotes

Symbol	Bid	Ask	Last
VOD	27.72	27.73	27.73

Placing a Stop on a Shorted Share

Wealth Training Company

myTrack
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About myTrack | Trading | Account

Stocks & ETFs | Stocks & ETFs (Conditional) | Options | Futures | Mutual Funds | Order Status

Stocks & ETFs

Order

Symbol: vod — Symbol Lookup

Order Action: Buy | Sell | Buy to Cover | Sell Short

Quantity: 100

Order Type: Market | Limit | Stop Market 28.1 | Stop Limit — Stop | Market on Close | Trailing Stop $ | %

Duration: Day | GTC (Good Until Cancel)

Condition: None | All or None | Fill or Kill

Contingent: Show

Clear | Preview Order

Account Status

Buying Power
Buying Power with Open Orders
Cash
Account Value

Quotes

Symbol	Bid	Ask	Last
VOD	27.72	27.73	27.73